

Quarterly Report for Deer Velvet in Korea – Deer Industry New Zealand (June 2012)

1 Imports

1.1 Velvet Imports

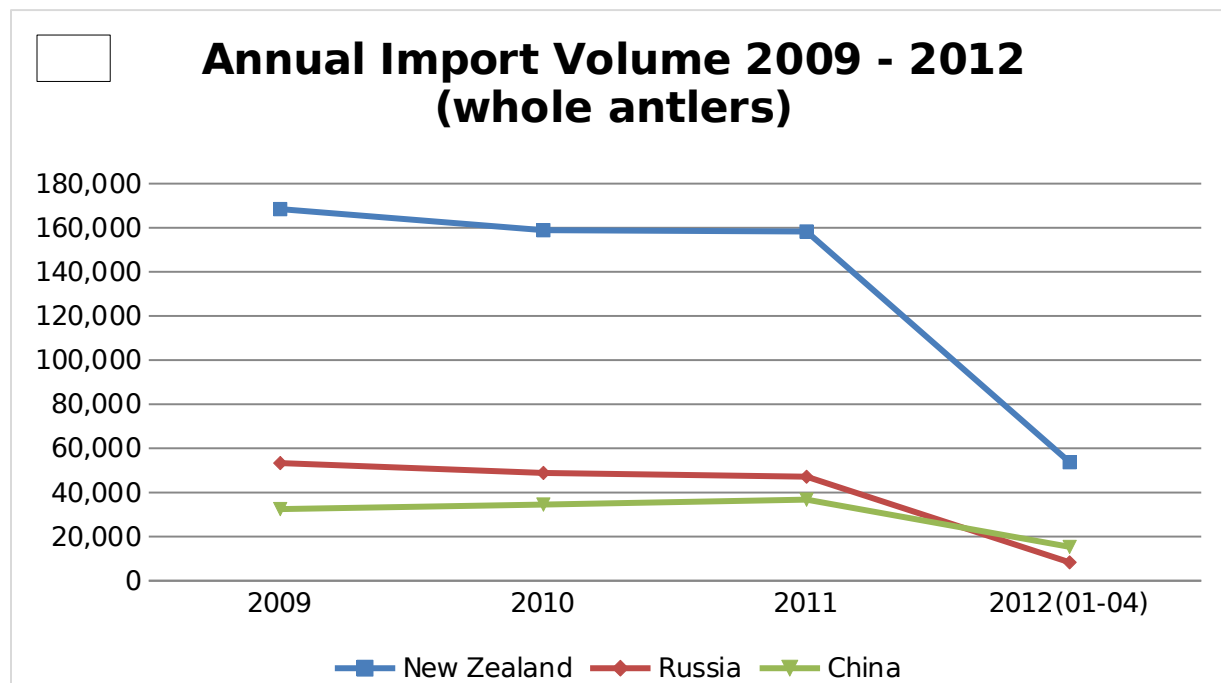
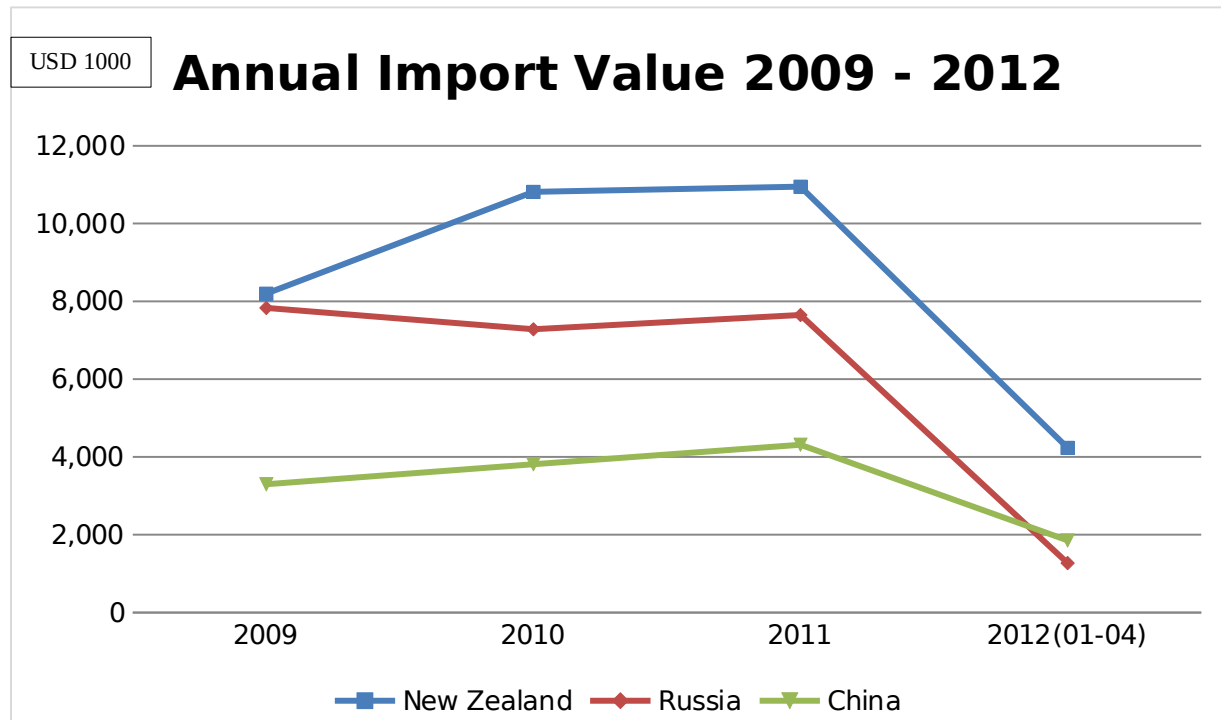
1.1.1 Young Antlers, Whole HS No. 0507.90.1110

Rank	Country	2009			2010			2011			2012(1~04)		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total Sum	19,545	262,476		22,247	246,623		23,497	246,188		7,410	77,798	
1	N.Zealand	8,197	168,438	48.66	10,813	158,875	68.06	10,946	158,276	69.16	4,233	53,714	78.81
2	Russia	7,830	53,318	146.85	7,281	48,841	149.08	7,647	47,142	162.21	1,270	8,314	152.75
3	Pr.China	3,298	32,471	101.57	3,811	34,514	110.42	4,314	36,742	117.41	1,852	15,320	120.89
4	Kazakhstan	24	200	120.00	272	2,393	113.66	591	4,028	146.72	-	-	-
5	Australia	196	8,049	24.35	70	2,000	35.00	-	-	-	54	450	120.00
	NZ Share (%)	41.94	64.17		48.60	64.42		46.58	64.29		57.13	69.04	

1.1.2 Young Antlers, Other HS No. 0507.90.1190

Rank	Country	2009			2010			2011			2012(1~04)		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total Sum	291	1,835	158.58	100	33	3,030.30	88	80	1,100.00	29	30	966.67
1	N.Zealand	251	1,815	138.29	58	8	7,250.00	47	36	1,305.56	19	26	730.77
2	Australia	40	19	2,105.26	42	25	1,680.00	40	42	952.38	10	4	2,500.00
3	U.S.A	1	-	-	0	-	-	0	1	0.00	0	-	-
4	Russia	0	-	-	0	-	-	-	-	-	-	-	-
5	Pr.China	0	1	0.00	-	-	-	0	1	0.00	-	-	-
	NZ Share (%)	86.25	98.91		58.00	24.24		53.41	45.00		65.52	86.67	

1.1.3 Annual Import Graph (whole antlers)



1.2 Hard Antler Imports (HS NO. 0507.90.1200)

Rank	Country	2009			2010			2011			2012(1~04)		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total Sum	2,475	225,946		2,219	202,444		2,511	224,058		596	51,350	
1	Russia	2,088	190,538	10.96	2,000	183,000	10.93	2,508	224,035	11.19	595	51,339	11.59
2	Australia	0	1	0.00	63	6,024	10.46	2	20	100.00	1	10	100.00
3	N.Zealand	123	11,314	10.87	34	3,420	9.94	0	3	0.00	0	1	0.00
4	Argentina	109	9,961	10.94	60	5,000	12.00	-	-	-	-	-	-
5	Mongolia	-	-	-	62	5,000	12.40	-	-	-	-	-	-
6	Pr.China	156	14,132	11.04	-	-	-	-	-	-	-	-	-
	NZ Share (%)	4.97	5.01		1.53	1.69		0.00	0.00		0.00	0.00	

1.3 Quarantine Statistics of Deer Velvet from Major Exporters

These include hand-carried velvet by tourists. The countries are not country of origin but export.

COUNTRY	MAY 10 - APR 11		MAY 11 - APR 12	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
New Zealand	23,963.70	113,272.50	28,275.90	88,976.60
China	52,664.80	28.20	64,825.10	8.30
Russia	35,396.30	0.40	36,042.90	-
Hong Kong	11,462.70	-	9,797.60	-
Kazakhstan	2,380.80	-	3,177.20	-
Australia	102.20	1.00	104.80	-
USA.	35.00	7.00	37.10	-
Singapore	1,025.40	-	-	-
Others	26.80	2.30	12.10	7.10
Total	127,057.7	113,311.40	142,272.70	88,992.0

Source: National Veterinary Research & Quarantine Service

2 Retail Prices of Deer Velvet to Individual Consumers

2.1 (As of 2012-05) Retail Prices of Dried Deer Velvet to Individual Consumers (Offline)

	New Zealand	Russia	China
Bungol (tip)	KRW 65-75,000	KRW 100-110,000	-
Sangdae (upper part)	KRW 45-64,000	KRW 60-90,000	KRW 50,000
Jungdae (middle part)	-	KRW 60,000	-



Source: Four retail shops in Kyung Dong Oriental Herb Market.

2.2 (As of 2012-05) Retail Prices of Dried Deer Velvet to Individual Consumers (Online shopping)

Packaging: 2 nyang (75g) retail pack

	New Zealand	Russia	Korea
Bungol (tip)	KRW 108,000	KRW 135,000	KRW 180,000
Sangdae (upper part)	KRW 81-90,000	KRW 102-108,000	KRW 130,000
Jungdae (middle part)	KRW 63,000	KRW 81,000	KRW 110,000

Source: A number of different Korean online shopping malls and Deer Velvet Specialists

2.3 (As of 2012-05) Fresh Deer Velvet (Local, online shopping)

Packaging: 5 nyang (200g) retail pack

Bungol (tip)	KRW 160-200,000
Sangdae (upper part)	KRW 130-140,000
Jungdae (middle part)	KRW 95-110,000
Hadae (lower part)	KRW 70-100,000



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Source: A number of different Korean online shopping malls and Deer Velvet Specialists

3 Local Deer Industry

3.1 (Update) Market Price of Live Deer as of 1 March, 2012

			Elk	Sika	Red
2 Yr Old (2010 Born)	Female		109	44	51
	Male		242	64	74
3~4Yr Old	Female		130	53	62
	Male		280~370	73~86	82~98
		Avg	325	80	90
5 Yr and Older	Female		136	60	70
	Male				
	(Velvet production volume)		(Less 10 kg) 292	(Less 1kg) 74	(Less 3kg) 90
			(Less 10~13kg) 301~399	(Less	(Less 3~5kg)

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http://sasum9.com/index.php?pgurl=shop/sh_goods_view&salegdno=205>ype=1&ctpo se=AAC

				1~1.3kg) 80~90	100~116
		Avg	350	85	108
			(Less 13~17kg) 418~588	(Less 1.3~1.7) 97~112	(Less 5~7kg) 117~133
		Avg	503	105	125
			(Less 17~20kg) 615~934	(Less 1.7~2.0kg) 117~128	(Less 7~9kg) 141~158
		Avg	775	123	150
			(Over 20kg) Over 1,067	(Over 2.0kg) Over 140	(Over 9kg) Over 177

	Young Deer			
	Elk		Sika	Red
	Naturally born	Artificially inseminated	Naturally born	Naturally Born
Female	81	185	30	40
Male	167	379	48	60

Unit: KRW 10,000

Source: Monthly Yangrok (Deer Farming), March 3, 2012

3.2 Interview with Head of the Korea Deer Association, Yoo-Hwan Jeong

- Korea is the world's largest consumer market for deer velvet. However 80-90% of this is made up of imported deer velvet. It is important to make consumers aware of the excellence of Korean deer velvet and strengthen promotion efforts in order to create a distinction with imported deer velvet.
- In order to do this we will work hard to ensure that velvet farmers are producing high quality deer velvet. Need to look into measures to ensure oriental medicine businesses can be steadily supplied with Korean deer velvet. And also that Korean Deer velvet is used widely as a health food product.
- Most importantly, we need to find a means to effectively stop imported deer velvet being sold as Korean deer velvet.

- Disease is another big issue. Deer tuberculosis, especially, is becoming a major concern. Need to work with the related institutions to find a solution for this.
- Deer Day has not yet been able to become a large scale event to the extent hoped by velvet farmers, but the fact that it has been held in succession for five years is encouraging.

Source: Livestock News, 02 April, 2012

<http://www.chuksannews.co.kr/news/article.html?no=71743>

3.3 April 3rd Deer Day- “Look after your health with Korean Deer Velvet”

The Korea Deer Association held this year's Deer Day (the fifth so far) in Myeong-Dong, Seoul on April 3rd. Various foods and beverages containing deer velvet were available for the public to try, as was venison. The main goal of the event is to spread the word about Korean Deer Velvet's safety and superiority in order to boost consumption. The aim is to make it an event that consumers identify with health and fun.

Source: Livestock News, 04 April 2012

<http://www.chuksannews.co.kr/news/article.html?no=71834>

3.4 The Korea Rabbit and Deer Association Plans to have sales of Deer Velvet up and running by April 20th.

The Korea Rabbit and Deer Association plans to have a place of sales for deer velvet up and running by April 20th. They plan to become the vanguard for promotion of Korean deer velvet products. State of the art freezing facilities allow for the storage of 500,000 nyang of fresh deer velvet. They plan to provide customers with information on the different types of deer that produce deer velvet, as well as traditional literature and modern scientific texts on the effects of deer velvet. More than anything, the excellence of Korean deer velvet will be emphasized. There is also a plan to be the first nogjungtang (a deer broth) manufacturing plant to receive HAACP certification.

Source: The Deer Times, 05 April 2012

3.5 Purchase of all Grade One Deer Velvet

The Korean Rabbit and Deer Association plans to purchase the entire amount of early harvested grade one Korean deer velvet this year. In order to establish the superiority of Korean deer velvet over its foreign counterpart, they have made a request to association members for early velveting. The Association will reduce the existing four level grading system to a two level one, and plans to purchase not only all of the grade one deer velvet, but also all of the regenerated deer antlers. Grade one is defined as having a weight of 5kg or more, 3 지 분봉 (각관분지)이 5cm 이내, 상대부분의 발육상태가 매우 좋은 것 (조기절각으로 길이가 짧고 상대비중이 높은 것). Grade two: over 5 kg in weight, 3 지 분봉 (각관분지)이 10cm 이내, 상대부분의 발육상태가 매우 양호한 것으로 1 등급 이외의 것 (조기절각으로 길이가 짧고 상대 비중이 높은 것). Removing. Velveting. 비고 - 80 일 이내 절각; 비닐랩으로 보존 양호. There is a plan to decide the grade of the deer velvet using a grade measuring machine. The Association also plans to purchase 120~130,000 nyang of fresh elk velvet.

Source: The Deer Times, 05 April 2012

3.6 Venison as a Means to Increase Farmers' Income

The Rural Development Administration (RDA) is encouraging Korean Velvet Farmers to think about venison. After velveting, rather than culling those deer with low deer velvet production, fattening and using for venison production can be a means to increase income. Venison is lower in fat and cholesterol than other meats and sold at a high price as a diet food overseas. The RDA has endeavoured to take on 3 years of research into venison as a means to invigorate the deer industry.

Source: Livestock News, 30 April 2012

<http://www.chuksannews.co.kr/news/article.html?no=72335>